

Before the Federal Maritime Commission, Washington, DC.

Docket No. 25-08

FormuKleen, Inc.

(Complainant)

vs.

Top Shipping Systems, Corp.

(Respondent)

COMPLAINANT'S RESPONSES TO RESPONDENT'S PROPOSED FINDINGS OF FACT

Complainant FormuKleen, Inc. submits the following responses to Respondent Top Shipping Systems, Corp.'s Proposed Findings of Fact. Any admission is limited to the factual proposition expressly admitted and does not admit Respondent's characterization of TSS's legal capacity.

I. TSS'S ROLE ON THE SUBJECT SHIPMENTS

Respondent's Proposed Finding No. 1: TSS acted as customs house broker and provided post-arrival services with respect to the subject shipments, including customs clearance, local drayage, delivery, and warehousing. Entry No. 8 at 1, 4; Del Monte Dep. Tr. 94:19-22 (CX-0139).

Response: Admitted in part. TSS performed customs brokerage, customs clearance, drayage, inland transportation, delivery, and warehousing services. Once TSS undertook the port-to-destination movement, the terminal was the point of receipt for that inland transportation. 46 U.S.C. § 40102(7)(A). Denied to the extent the phrase 'post-arrival services' is offered to limit the transportation responsibility TSS assumed or the legal capacity in which it acted. TSS assumed responsibility for the transportation of the subject containers, generated the operative

delivery orders, provided pickup authority and delivery instructions, made destination decisions, paid or advanced charges, and controlled the inland transportation and whether onward delivery would continue. Resp. to Complainant's PFF 30-42, 47-55; Del Monte Dep. Tr. 26:13-25 (CX-0126).

Respondent's Proposed Finding No. 2: TSS did not issue a house bill of lading for either CHSU4047424 or BSIU8431017. Respondent's Answer to Interrogatory No. 6.

Response: Admitted only that Respondent so answered Interrogatory No. 6 and that no TSS-issued HBL for the subject shipments was produced. That record does not conclusively establish that no such document ever existed, was transmitted, or was used in a relationship with another party concerning the subject shipments. The April 1, 2026 Order recognized the relevance of TSS's third-party communications, routine practices, and operational conduct to the capacity issue. Entry No. 63 at 10. In any event, Respondent admits that the absence of a TSS-issued HBL is not dispositive standing alone. Opposition at 6, 12.

Respondent's Proposed Finding No. 3: The house bill of lading for CHSU4047424 identifies Top Sealand International. Del Monte Dep. Tr. 75:8-18 (CX-0137).

Response: Admitted that the produced HBL for CHSU4047424 identifies Top Sealand International. Del Monte Dep. Tr. 75:8-18 (CX-0137). Denied to the extent the proposed finding implies that Top Sealand's upstream role precluded TSS from separately acting as an NVOCC in the transportation chain.

Respondent's Proposed Finding No. 4: Dolphin Logistics was Top Sealand International's U.S. agent for CHSU4047424 and provided the arrival notice, availability, and charge information. Del Monte Dep. Tr. 75:8-24 (CX-0137).

Response: Admitted. Dolphin Logistics was identified as Top Sealand's U.S. or destination agent for CHSU4047424. Del Monte Dep. Tr. 75:8-24 (CX-0137); Villena Dep. Tr. 64:18-25.

Respondent's Proposed Finding No. 5: Del Monte did not communicate directly with Top Sealand concerning CHSU4047424 and instead communicated with its U.S. agent, Dolphin Logistics. Del Monte Dep. Tr. 75:3-24 (CX-0137).

Response: Admitted only that Del Monte gave the cited testimony. Del Monte Dep. Tr. 75:3-24 (CX-0137). Denied to the extent Respondent asks the Commission to find as fact that Del Monte never communicated directly with Top Sealand. The completeness of TSS's production of third-party communications remains disputed, and the produced record does not independently establish the absence of such communications. Entry No. 63 at 10-13; Entry No. 90 at 2-3; Resp. to Complainant's PFF 87-93. In any event, whether Del Monte communicated through Dolphin does not determine the legal capacity in which TSS performed the transportation it undertook.

Respondent's Proposed Finding No. 6: With respect to BSIU8431017, Del Monte identified Qichen Logistics as the NVOCC or freight forwarder involved with the shipment. Del Monte Dep. Tr. 65:16-19.

Response: Admitted that Del Monte identified Qichen Logistics as an NVOCC or freight forwarder involved upstream in BSIU8431017. Del Monte Dep. Tr. 65:16-19. Denied to the extent the proposed finding implies that Qichen's role precluded TSS from separately acting as an NVOCC in the same transportation chain.

Respondent's Proposed Finding No. 7: DHY Shipping Line Inc. was Qichen Logistics' U.S. agent for BSIU8431017 and provided the arrival notice, availability, and charge information. RX000101.

Response: Admitted. DHY Shipping Line Inc. was identified as Qichen's U.S. or destination agent for BSIU8431017. RX000101; Villena Dep. Tr. 64:18-25; Del Monte Dep. Tr. 73:24-76:23.

II. TSS'S SERVICES WERE POST-ARRIVAL AND LOCAL

Respondent's Proposed Finding No. 8: Del Monte testified that his work was 'post arrival' and consisted of customs brokerage, customs clearance, delivery of the container to the customer, and payment of outstanding terminal charges. Del Monte Dep. Tr. 94:19-22 (CX-0139).

Response: Admitted only that Del Monte used the quoted phrase and described those services. Del Monte Dep. Tr. 94:19-22 (CX-0139). Denied to the extent Respondent uses the label 'post arrival' to determine the legal capacity in which TSS performed the combined transportation services. The relevant facts are the transportation functions TSS undertook, not Respondent's characterization of when they occurred. Opposition at 10.

Respondent's Proposed Finding No. 9: TSS's customs-brokerage work involved clearing imported goods after their arrival in the United States. Del Monte Dep. Tr. 5:23-6:4 (CX-0125).

Response: Admitted only that TSS performed customs-clearance work after physical arrival. Del Monte Dep. Tr. 5:23-6:4 (CX-0125). TSS's work was not confined to the period after arrival: before arrival, TSS coordinated with the supplier concerning the ISF and filed the ISF. CX-0159 to CX-0160; Resp. to Complainant's PFF 46, 74. Denied to the extent the proposed finding implies that post-arrival customs brokerage comprised the entirety of TSS's undertaking.

Respondent's Proposed Finding No. 10: After Customs released the goods, TSS provided local truckers with pickup and delivery instructions. Del Monte Dep. Tr. 6:1-8 (CX-0125).

Response: Admitted only that, after Customs released the goods, TSS provided the performing drayage truckers with pickup and delivery instructions. Del Monte Dep. Tr. 6:1-8 (CX-0125); Resp. to Complainant's PFF 47-51. Denied to the extent the proposed finding implies that TSS first contacted or arranged with the truckers only after Customs release. Del Monte's testimony addresses when pickup instructions were provided, not when TSS began arranging the drayage, and advance coordination would ordinarily precede release so pickup could occur without delay. TSS admits it monitored freight release, vessel arrival, and last free day before pickup. Resp. to Complainant's PFF 74-75. In any event, once TSS undertook the port-to-destination movement, the terminal was the point of receipt for the inland transportation TSS arranged and controlled.

Respondent's Proposed Finding No. 11: TSS facilitated local trucking in the United States for the subject containers. CX-0119 to CX-0121.

Response: Admitted that TSS facilitated drayage for the subject containers. CX-0119 to CX-0121; Resp. to Complainant's PFF 26-27. Denied to the extent the word 'local' is offered to remove port drayage or inland transportation from the services identified in 46 C.F.R. § 515.2(k)(6).

Respondent's Proposed Finding No. 12: TSS generated and communicated delivery orders and local pickup and delivery instructions to truckers. CX-0127 to CX-0129; CX-0133 to CX-0134.

Response: Admitted. TSS generated and communicated the delivery orders and pickup and delivery instructions used by the performing drayage truckers. CX-0127 to CX-0129; CX-0133 to CX-0134; Resp. to Complainant's PFF 33-34, 37-38, 51. Those operative documents and instructions directed the drayage movement from the terminal, the point of receipt for the port-

to-destination inland transportation TSS undertook, through delivery and support Complainant's position that TSS assumed responsibility for that transportation. 46 U.S.C. § 40102(7)(A).

Denied to the extent the word 'local' is offered to remove port drayage or inland transportation from the services identified in 46 C.F.R. § 515.2(k)(6).

Respondent's Proposed Finding No. 13: Villena described TSS's transportation involvement following release as 'the local trucking part of it.' Villena Dep. Tr. 63:9-24.

Response: Admitted only that Villena used the quoted phrase. Villena Dep. Tr. 63:9-24. Denied to the extent that characterization is offered as a legal conclusion concerning TSS's statutory capacity or to negate the broader transportation responsibility shown by TSS's conduct.

III. ADVANCEMENT OF CHARGES

Respondent's Proposed Finding No. 14: TSS paid or advanced certain charges on FormuKleen's behalf and subsequently invoiced FormuKleen for those amounts. Del Monte Dep. Tr. 26:13-25 (CX-0126).

Response: Admitted. TSS paid or advanced certain charges on FormuKleen's behalf and invoiced FormuKleen. Del Monte Dep. Tr. 26:13-25 (CX-0126); Resp. to Complainant's PFF 40. Del Monte further testified that TSS paid terminal and co-loader charges for the subject shipments. Del Monte Dep. Tr. 56:15-59:5, 69:18-71:21, 108:17-109:14.

Respondent's Proposed Finding No. 15: TSS advanced customs duties associated with CHSU4047424. Del Monte Dep. Tr. 59:2-5.

Response: Admitted that TSS advanced customs duties associated with CHSU4047424. Del Monte Dep. Tr. 59:2-5.

Respondent's Proposed Finding No. 16: Del Monte testified that TSS did not mark up duties or terminal fees and charged those amounts at face value. Del Monte Dep. Tr. 57:20-58:1.

Response: Admitted only that Del Monte gave the cited testimony. Del Monte Dep. Tr. 57:20-58:1. Denied to the extent the proposed finding is offered to characterize all charges TSS assessed or all compensation TSS received for its services.

IV. DUTY PAYMENT AND CLAIMED REPARATIONS

Respondent's Proposed Finding No. 17: TSS initially advanced customs duties for FormuKleen as a courtesy credit accommodation. Respondent's Answer to Interrogatory No. 7.

Response: Admitted only that Respondent characterized its prior duty-advance practice as a courtesy credit accommodation in its interrogatory response. Denied to the extent the proposed finding omits that advancing and paying charges was among the transportation services TSS regularly performed and invoiced to FormuKleen. Resp. to Complainant's PFF 40; Del Monte Dep. Tr. 26:13-25 (CX-0126).

Respondent's Proposed Finding No. 18: After FormuKleen failed to reimburse duty advances and became delinquent, TSS revoked the duty-advance accommodation, after which FormuKleen was required to pay customs duties directly to CBP. Respondent's Answer to Interrogatory No. 7.

Response: Admitted only that TSS suspended FormuKleen's credit on April 17, 2025 and announced on April 22 that it would no longer advance duties. CX-0172 to CX-0173; RX000058. Denied to the extent the proposed finding adopts Respondent's disputed characterization of the parties' account or implies that the suspension was unrelated to the challenged account-wide cargo-control practice. The chronology supports rather than defeats causation. The Form 7501 identifies April 9 as the entry date, and TSS stated that duties were

due within ten days, making April 19 the stated deadline. TSS's April 17 email gave only a general reminder that duties over \$5,000 were due within ten days; it did not identify entry 87D-0030971-9, state its April 9 entry date, or instruct FormuKleen to pay CBP directly. TSS did not specifically instruct FormuKleen to pay that entry directly until April 22-23, after the stated deadline. RX000058; CX-0306.

Respondent's Proposed Finding No. 19: TSS notified FormuKleen by email regarding the CBP assessment or deadline associated with the instance in which FormuKleen was required to make payment itself. Del Monte Dep. Tr. 59:19-22.

Response: Admitted only that TSS sent communications on April 22-23, 2025 concerning entry 87D-0030971-9 and directed FormuKleen to pay CBP. RX000058. Denied to the extent the proposed finding implies that the existence of those emails defeats causation. The attached Form 7501 identifies April 9 as the entry date, and TSS stated that duties had to be paid within ten days of entry, making April 19 the stated deadline. TSS did not specifically identify the entry and instruct FormuKleen to pay CBP directly until after that period had expired. That timing supports Complainant's position concerning the \$695 penalty subsequently paid on the same entry. CX-0306.

Respondent's Proposed Finding No. 20: Del Monte testified that TSS did not fail to timely remit CBP fees for CHSU4047424. Del Monte Dep. Tr. 59:17-18.

Response: Admitted only that Del Monte gave the cited testimony concerning CHSU4047424. Del Monte Dep. Tr. 59:17-18. Denied to the extent the proposed finding is offered to resolve causation of the \$695 penalty associated with BSIU8431017. RX000058 identifies entry 87D-0030971-9 and BSIU8431017, and CX-0306 reflects FormuKleen's June 25 penalty payment on that same entry. Testimony concerning whether TSS timely remitted duties for CHSU4047424

does not establish that TSS gave FormuKleen timely notice sufficient to avert the penalty on BSIU8431017.

Respondent's Proposed Finding No. 21: FormuKleen, as importer of record, was responsible for payment of customs duties due to CBP. CBP Form 7501 (RX1).

Response: Admitted that FormuKleen was the importer of record and bore an obligation to CBP. RX1. Denied to the extent the proposed finding is offered to establish that TSS's conduct did not cause or contribute to the \$695 penalty. Importer-of-record status does not itself resolve causation.

Respondent's Proposed Finding No. 22: BSIU8431017 was moved from the port to TSS's warehouse in connection with TSS's post-arrival handling of the container. Respondent's Answer to Interrogatory No. 5.

Response: Admitted that TSS caused BSIU8431017 to be moved from the port to TSS's warehouse. Resp. to Complainant's PFF 37-39, 54-55. That port-to-warehouse drayage was among the NVOCC services TSS performed from the terminal, the point of receipt for the port-to-destination inland transportation it undertook, through warehousing and delivery. 46 U.S.C. § 40102(7)(A); 46 C.F.R. § 515.2(k)(6). TSS's assumption of responsibility, delivery instructions, destination decision, warehousing, and control of onward release establish the transportation undertaking; calling it 'post-arrival handling' does not change its legal character.

Respondent's Proposed Finding No. 23: BSIU8431017 was released on June 25, 2025 after additional account payments were made. Entry No. 32 at 1-3, 5-7; Respondent's Answer to Interrogatory No. 5.

Response: Admitted that BSIU8431017 was released on June 25, 2025 only after FormuKleen made additional payments toward unrelated account balances. Resp. to Complainant's PFF 61,

66, 98; CX-0165; CX-0184. Denied to the extent the proposed finding obscures that the demanded payments were unrelated to charges on BSIU8431017. TSS's own communication stated that the BSIU goods would be released when the account was current, while TSS's invoice for BSIU8431017 was not yet due when the goods entered its warehouse. Resp. to Complainant's PFF 61, 66; CX-0165; CX-0184.

Respondent's Proposed Finding No. 24: FormuKleen continued to owe TSS an outstanding balance after BSIU8431017 was released. Respondent's Answer to Interrogatory No. 5.

Response: Admitted only that TSS claimed an outstanding account balance remained after BSIU8431017 was released. Resp. to Complainant's PFF 20, 56; Respondent's PFF 24. That alleged balance concerned unrelated account receivables and does not establish a lawful basis for withholding BSIU8431017 under the Shipping Act. TSS's own invoice for BSIU8431017 was not yet due when the goods entered its warehouse. Resp. to Complainant's PFF 66; CX-0184. Release before payment of the entire asserted balance does not excuse the prior condition; it confirms that the cargo was used to compel partial payment of unrelated debts. Resp. to Complainant's PFF 61, 98; CX-0165.

Respectfully submitted,

Sara Dandan

Licensed to practice before the Commission and in good standing

FourOneOne LLC

2501 Chatham Rd, Suite 8082

Springfield, IL 62704

Email: sara@fouroneone.io

Phone: 630-286-9846

Signature:  _____

Date: 09/22/2026

CERTIFICATE OF SERVICE

I certify that on September 22, 2026, a true and correct copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondent:

Ricky Villena

Top Shipping Systems, Corp.

12480 NW 25th Street, Ste. 100

Miami, Florida 33182

ricky.villena@tsscorp.us

Sara Dandan

